

writing, I Bonds pay a guaranteed real rate of 0.70%—*after* inflation. That may not be very impressive, but they would still beat most bank savings accounts after inflation, and they're just as safe.

There's another advantage to I Bonds: Because they're government-issued, there's no state or local tax on the interest you earn. You do have to pay federal tax, but not until the bonds are cashed in. This means your money grows tax-free for as long as you hold the bonds. (See chapter 5 for an explanation of the magic of tax-free compounding.) And depending upon your income, you may be able to avoid paying any tax on the interest I Bonds earn if you use the money only for educational expenses.

Another plus is that you don't need a lot of money to get started. I Bonds can be purchased in electronic form with as little as \$25 directly from the Treasury website, [www.treasurydirect.gov](http://www.treasurydirect.gov). The Treasury will also let you set up an automatic investment program that allows your employer to deduct a certain amount from your paycheck and deposit it into your Treasury account. You can also get paper I Bonds at most banks, credit unions, and savings institutions in increments of \$50 and up. Either way, they can be cashed in any time after twelve months, up to thirty years (but there's a three-month interest penalty if you cash them in before five years).

For investors who have a bit more money to start with, there's another type of inflation-protected bond offered by the government: **Treasury Inflation-Protection Securities**, or **TIPS**. These come in minimum denominations of \$100. You can get TIPS directly from the Treasury or through banks, dealers, and brokers (where you'll pay a commission). For more details, visit [www.treasurydirect.gov](http://www.treasurydirect.gov) and go to the "Individual Investors" section.

---

Once again, you'll have to decide for yourself how much risk you're willing to take in pursuit of bigger rewards. To help determine the right mix for you, consider these questions:

- **What's your risk tolerance?** Are you a risk taker by nature? Do you like to gamble? Are you willing to lose \$10 for the chance of earning \$30? If so, you might be willing to put a